

Marketing: Session 4

Competitor Analysis: What happens to segments due to competition?

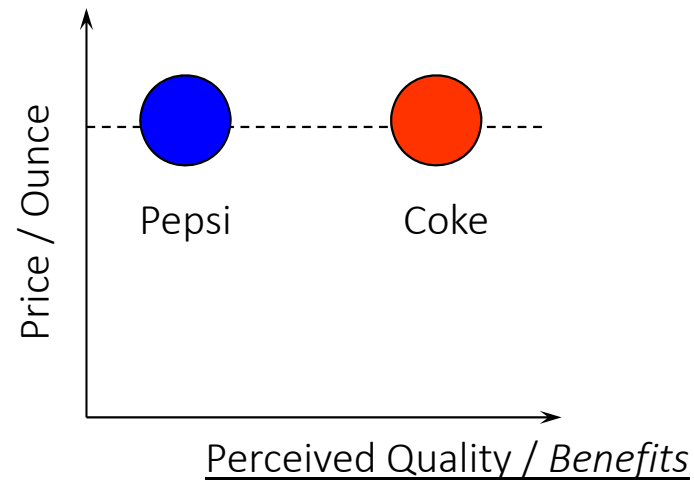
Material adapted from Hypercompetition

Framework

- To understand how competitive moves can influence segmentation, we go back to the perceptual map
- To simplify exposition, we will simplify the map and look at a...
- particular example....

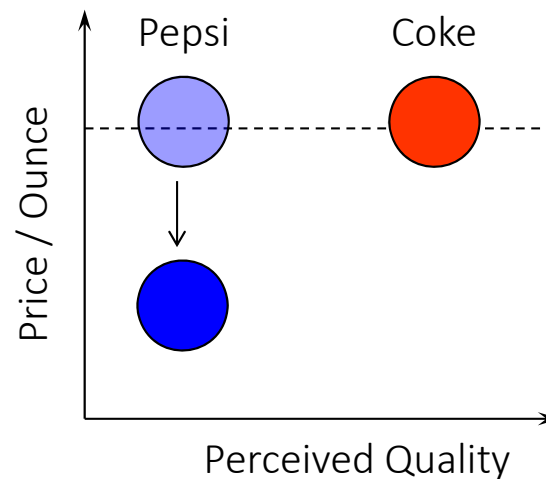
Simplified perceptual map: Coke vs. Pepsi in 1933

- Coke: 1886; Pepsi: 1893



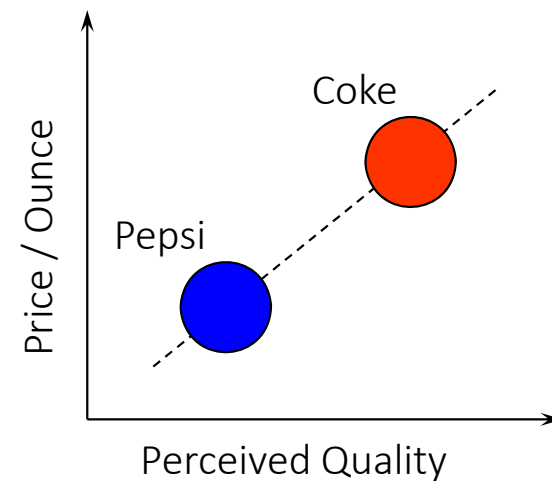
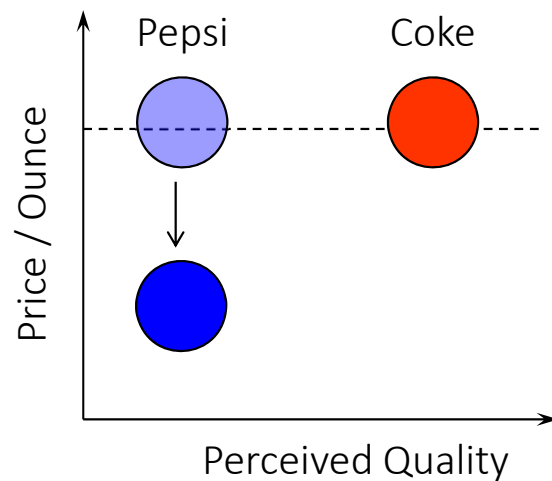
Pepsi tried to compensate for lower perceived quality

- Coke: 1886; Pepsi: 1893
- 1933: Pepsi struggling to stave off bankruptcy. *Dropped price of its 10c, 12 oz. bottle to 5c, making it a better value*
- Ad jingle “twice as much for a nickel” better known in the US than the Star Spangled Banner



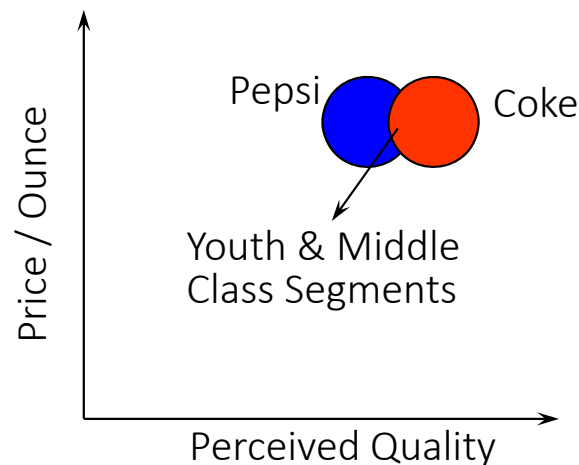
The value equation was now balanced

- Coke: 1886; Pepsi: 1893
 - 1933: Pepsi struggling to stave off bankruptcy. Dropped price of its 10c, 12 oz. bottle to 5c, making it a better value
 - Ad jingle “twice as much for a nickel” better known in the US than the Star Spangled Banner
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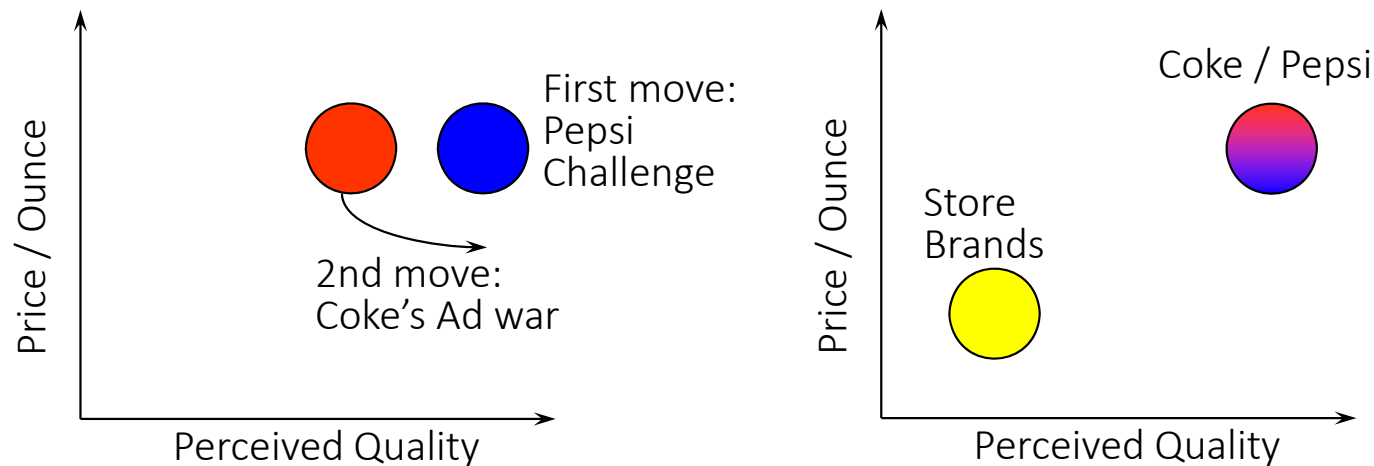
Cost increases forced Pepsi to raise price and allowed it to invest in advertising

- ◆ Pepsi keeps price advantage through 60s and 70s, when Pepsi charged its bottlers 20% less for its concentrate
- ◆ With rising ingredient costs, Pepsi could no longer offer twice as much for the same price. So it raised price to Coke's level giving it a war chest to fuel an aggressive ad campaign



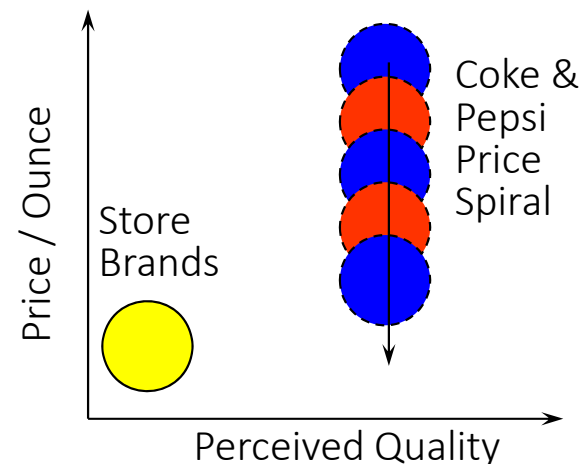
Coke and Pepsi traded places at the high end leaving the lower end for store and other small brands

- ◆ Battle shifted from Price to Quality, with Pepsi targeting the youth
- ◆ What followed was the Pepsi Challenge & “Real Thing” Coke ads
- ◆ Perceived quality caught up, opening for other players in the southwest corner



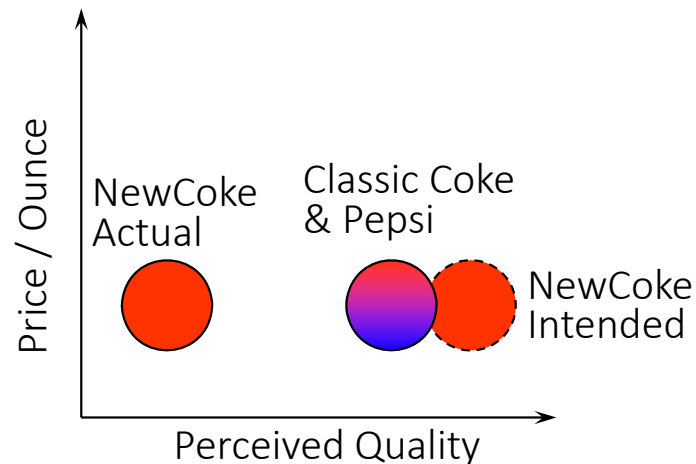
But promotional wars between Coke and Pepsi held rivals' shares in check

- ◆ Deeper pocketed and lower cost Coke initiated a price war in selective markets where Pepsi was weak in the 70s. Pepsi responded with its discounts and by the end of the 80s, 50% of food store sales were on discount
- ◆ Other companies moved into the lower left quadrant of the market. But the two major players forced price down to “ultimate value.”

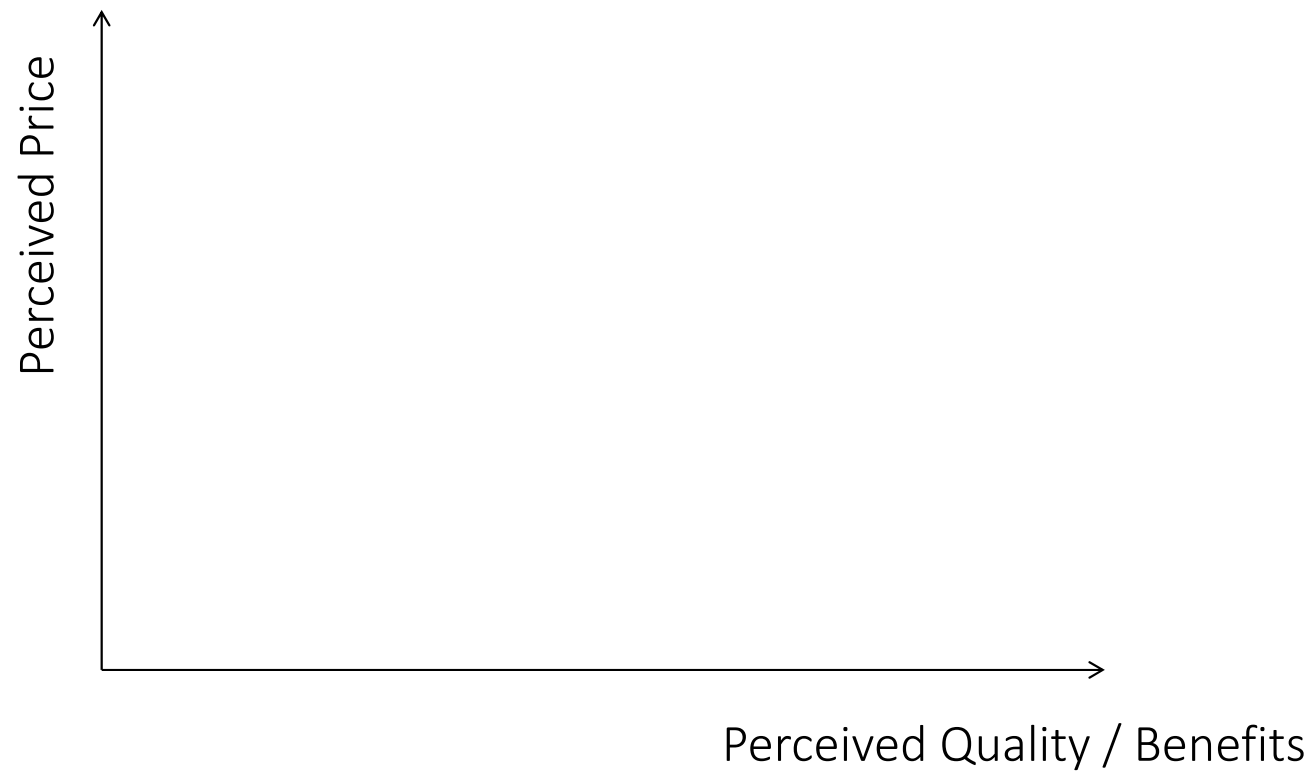


To break out Coke decided to influence perceptions by changing actual quality by creating “New Coke”

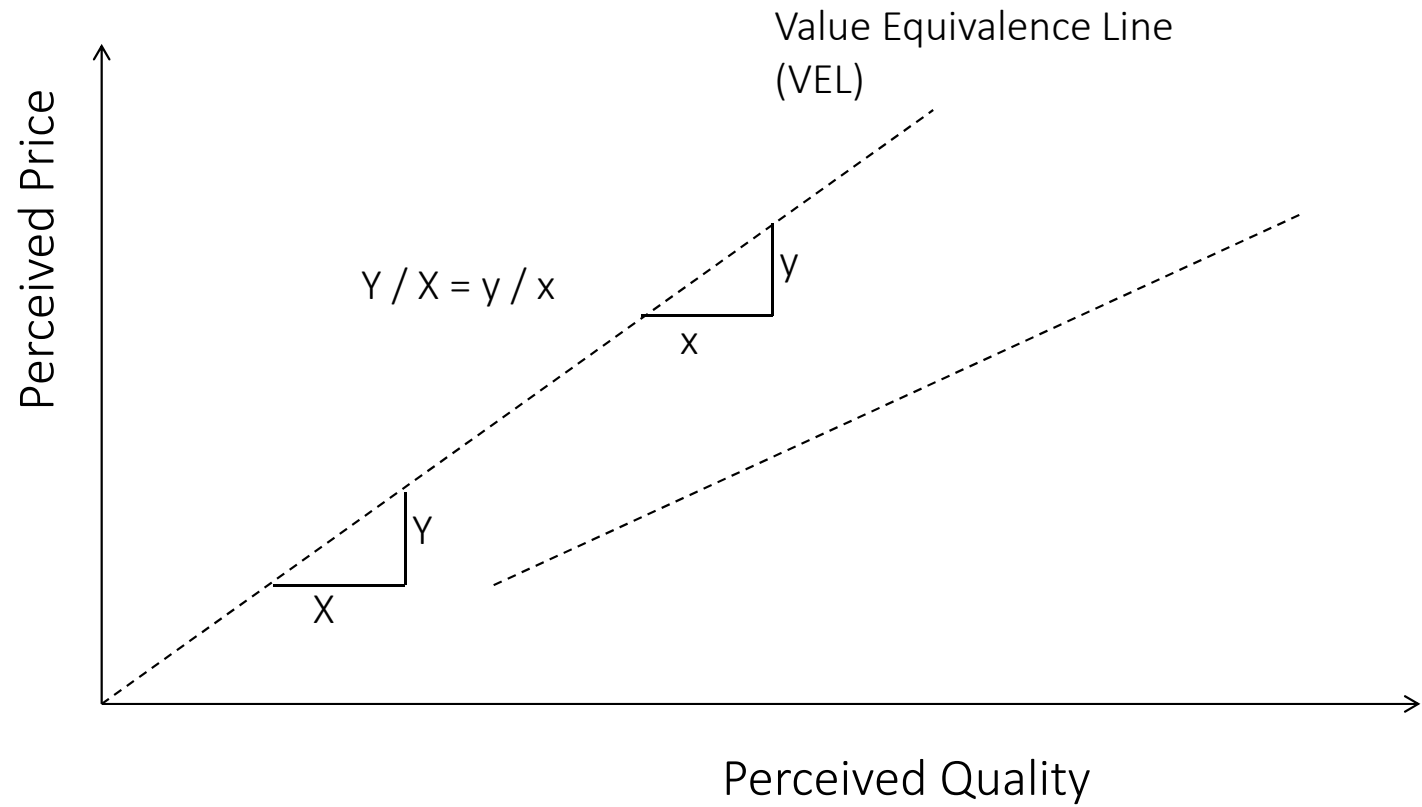
- ◆ To break price spiral, Coke launched New Coke to keep Coke loyalists and induce switching among Pepsi buyers. Rejected by market.
- ◆ Attempts to move to next arena via niches in caffeine and sugar substitutes



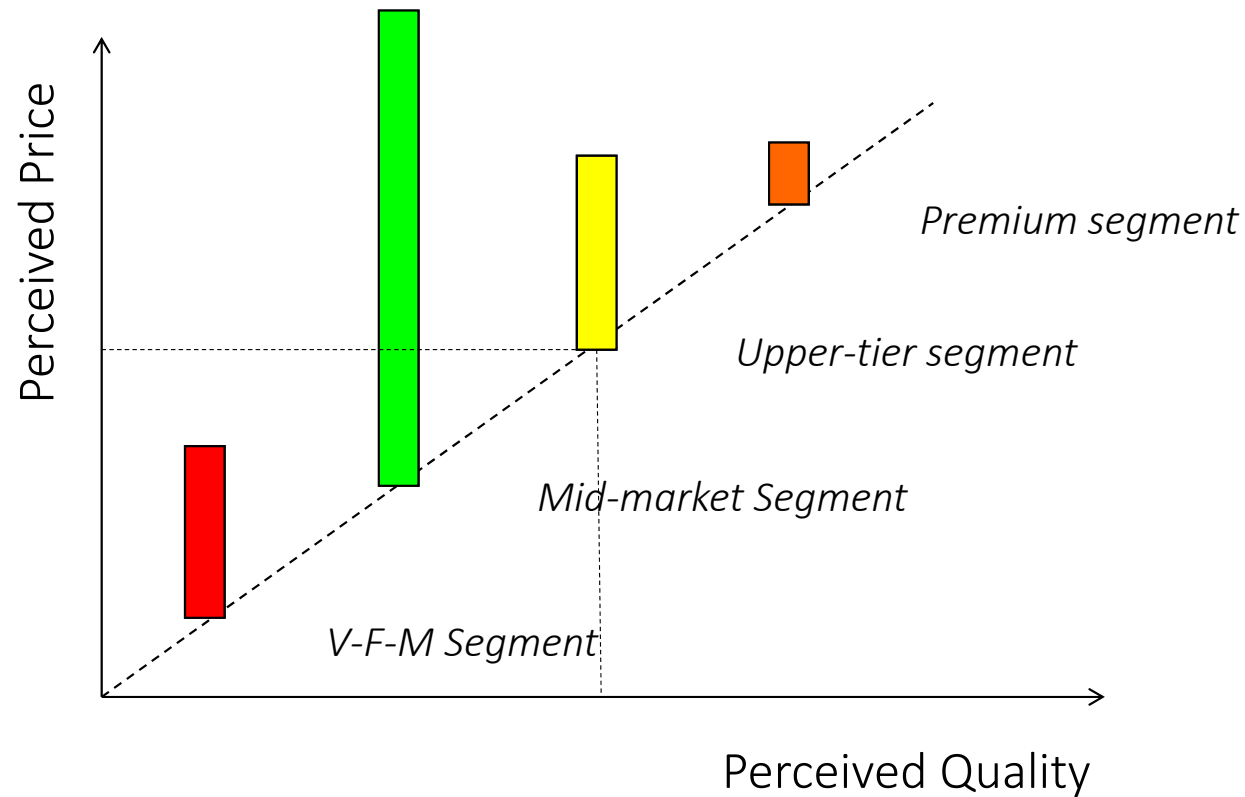
Simplified Perceptual Map = Value Map



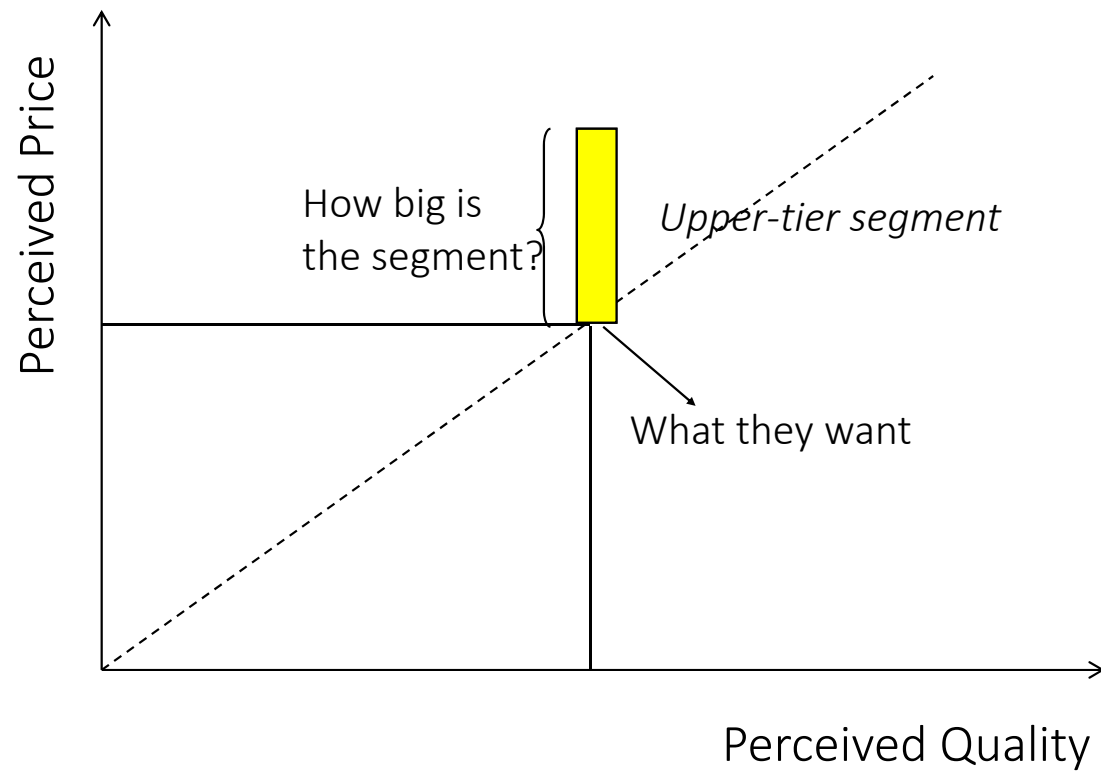
Value Equivalence Lines (VEL)



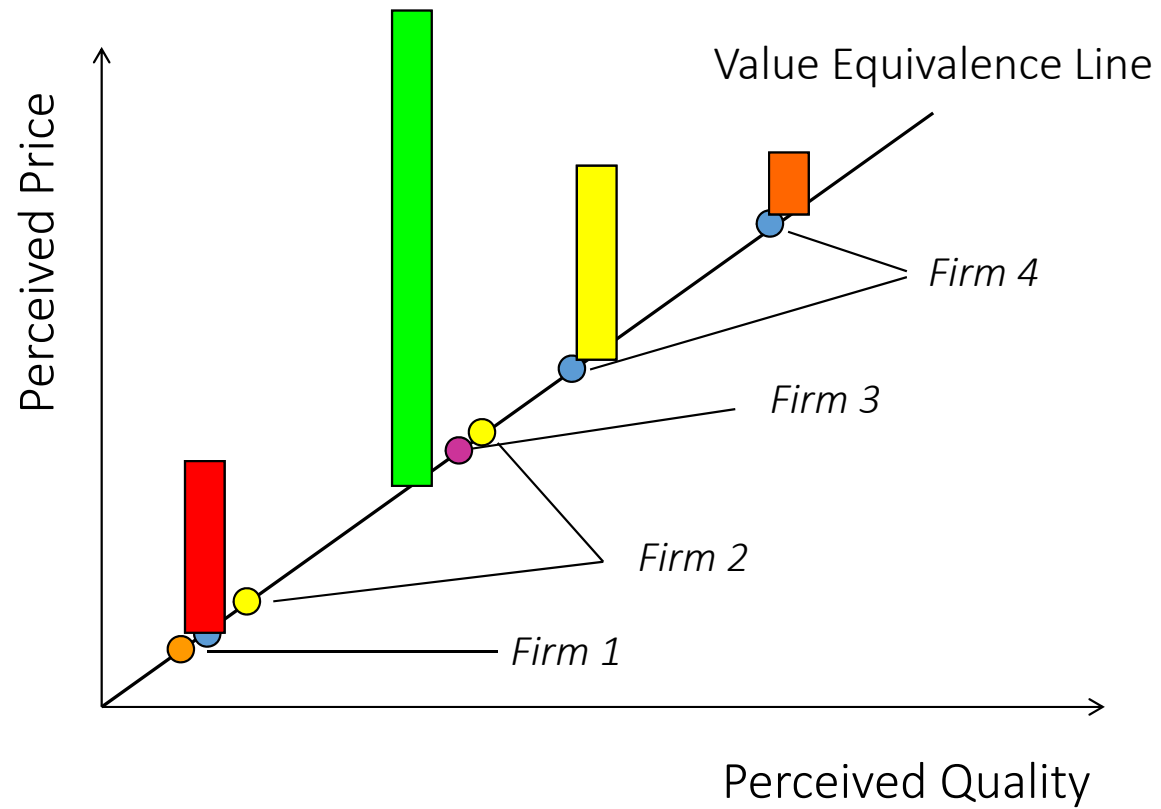
Segments with different needs & willingness to pay (WTP)



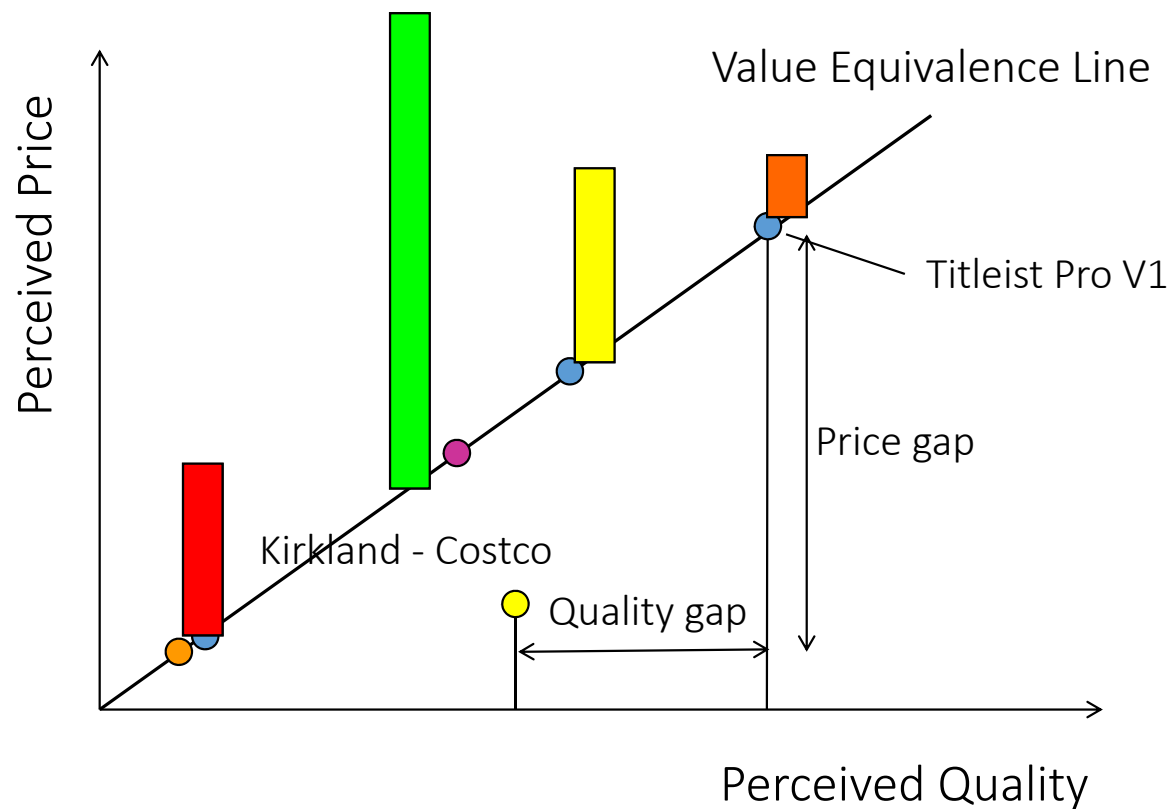
Segments differ also in their sizes



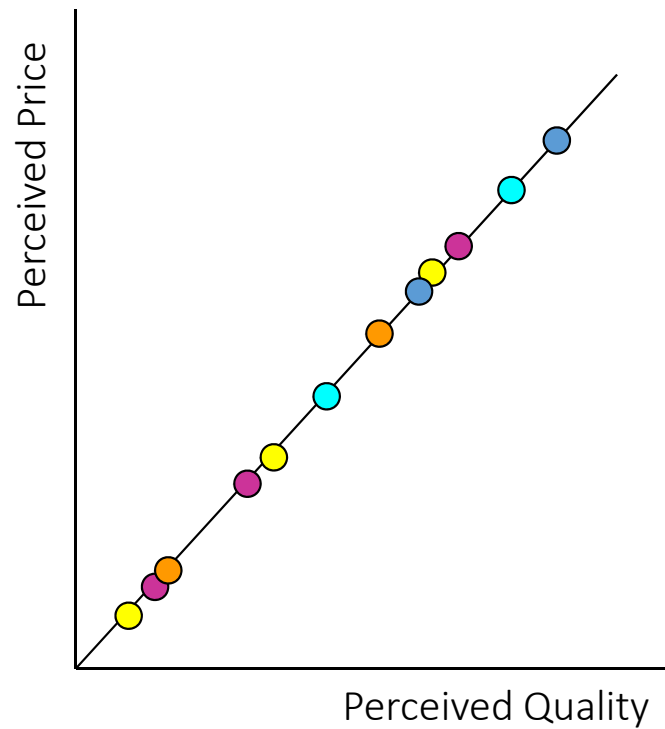
Firms choose which segments to target



Costco: Customers maybe willing to trade down when the Price gap > Quality gap

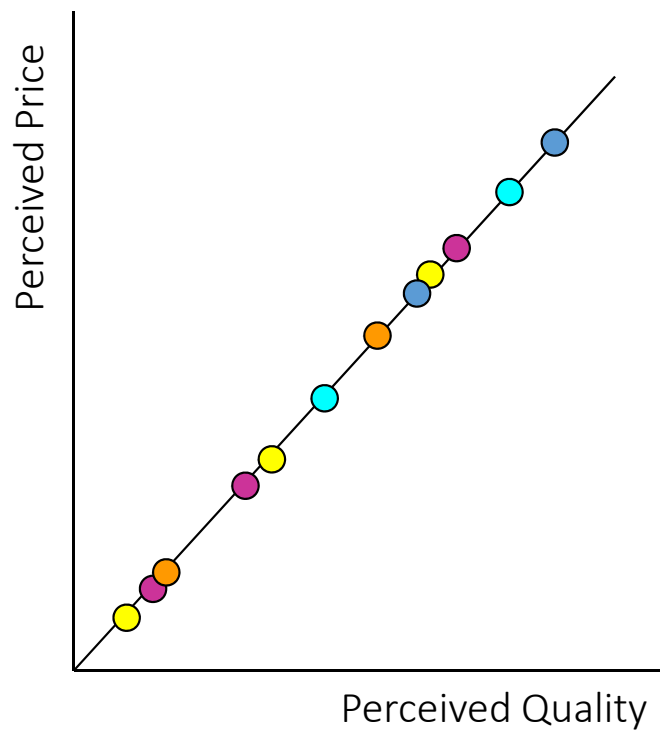


So what should firms do when the VEL gets crowded

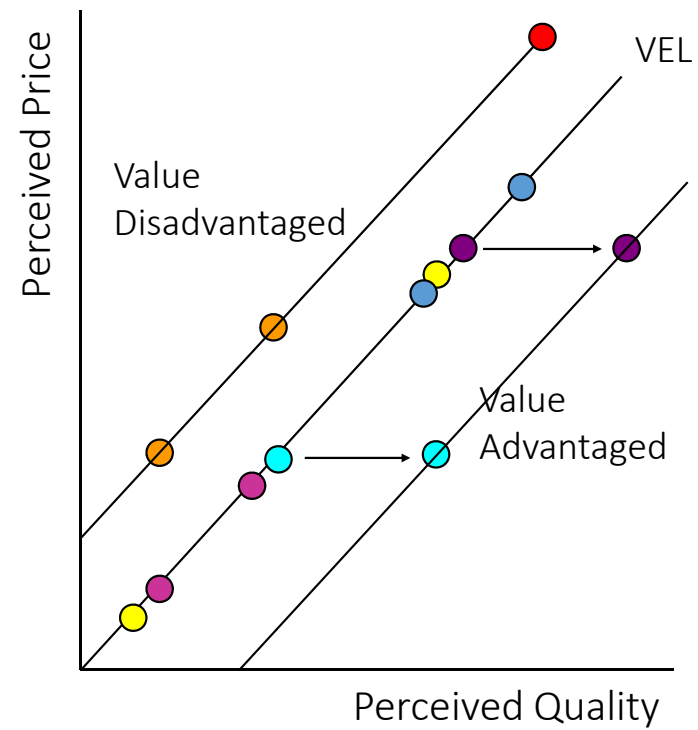


Brands try to differentiate by providing greater value

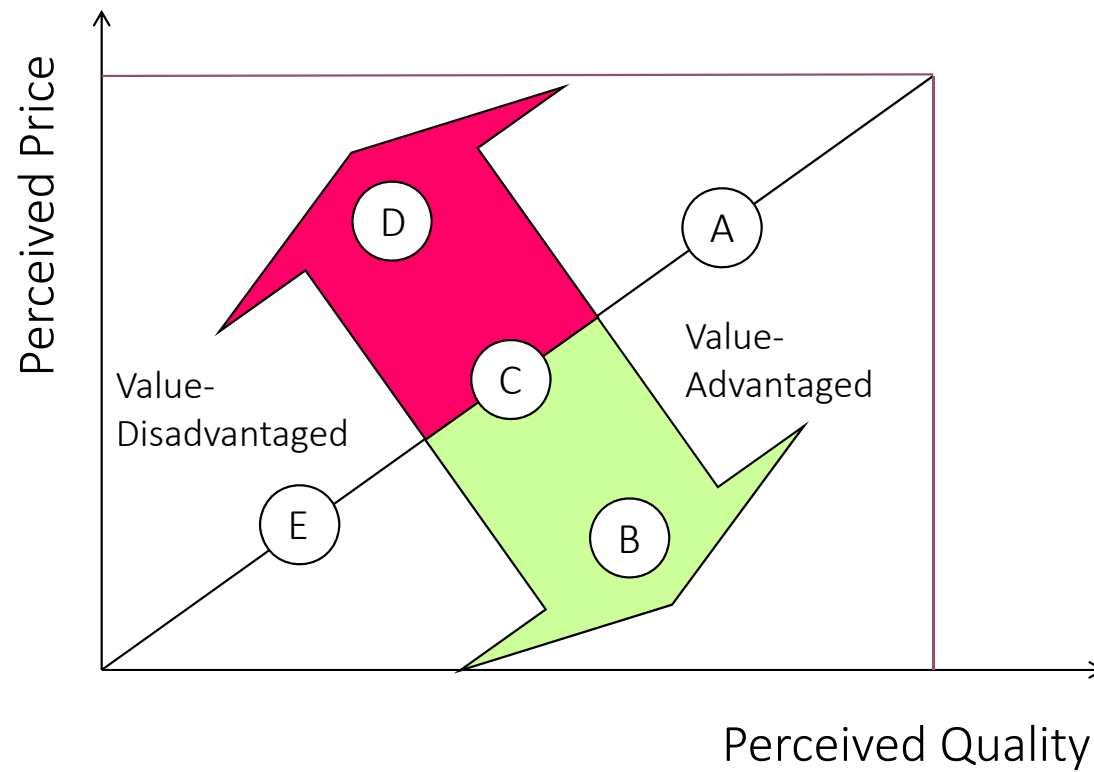
VEL becomes crowded...



...so brands look to move

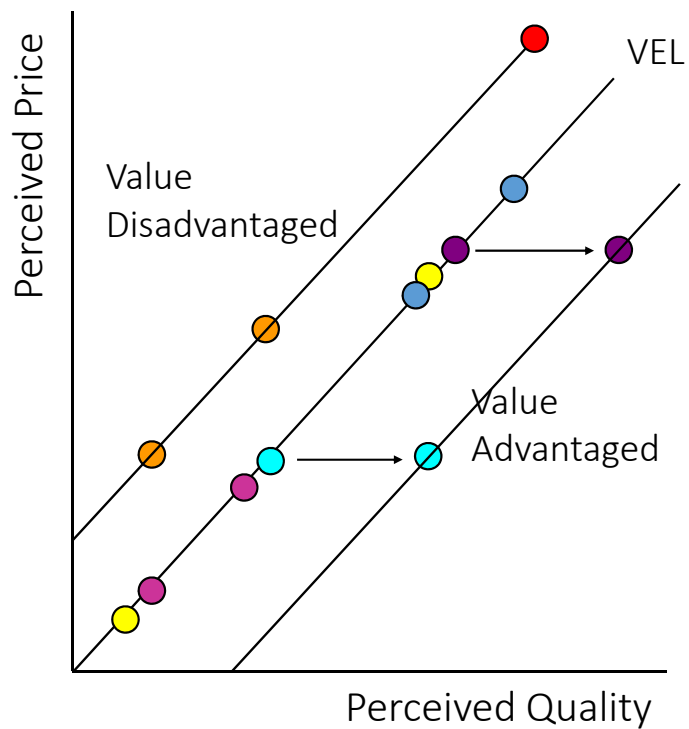


Regions of the Value Map



Seeking value advantage

Examples where this might have happened...



- How companies have used the value map....

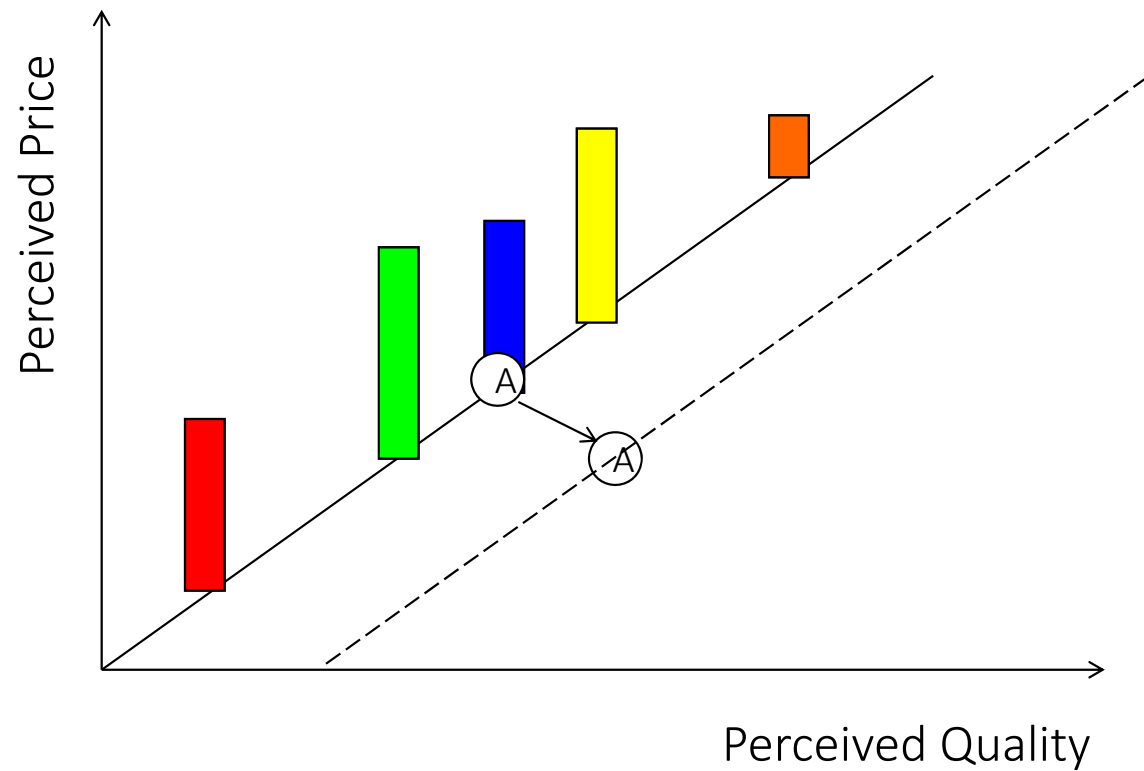
Movement options

1. Repositioning along the VEL

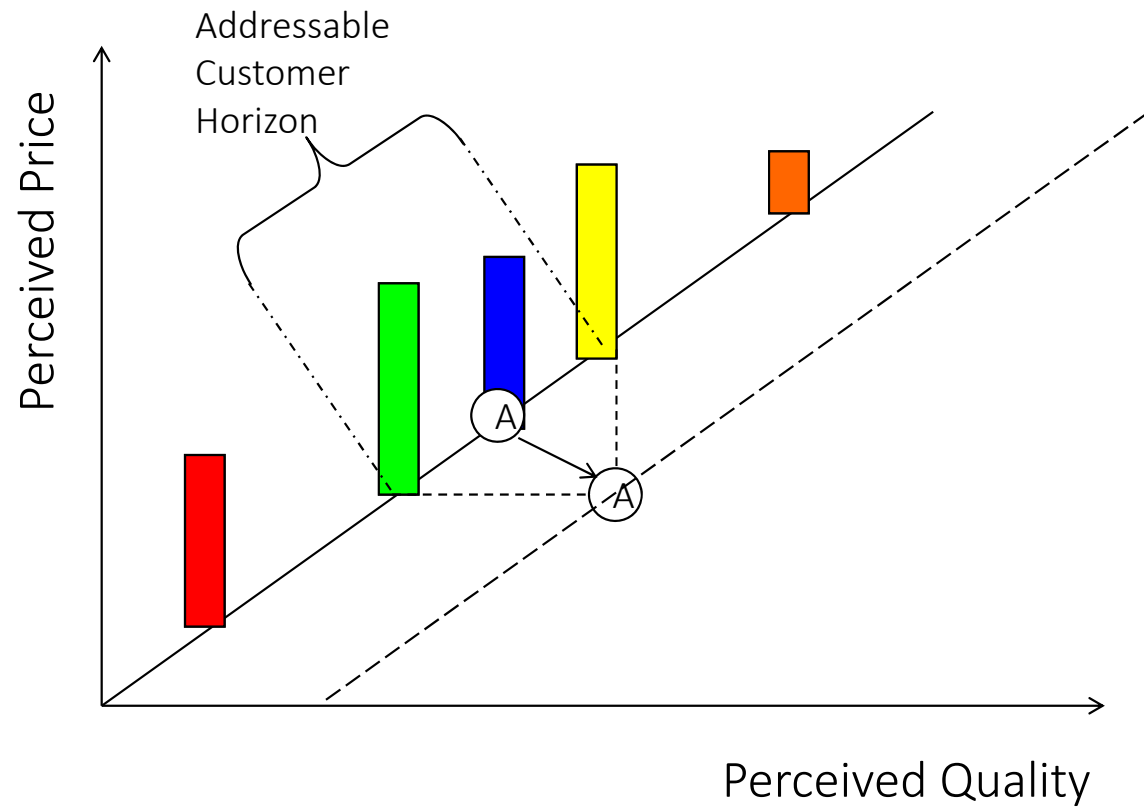
- Requires changes in both price and perceived benefits
- Less aggressive move; lower probability of retaliation
- Usual objective in such a move is to increase profits, not market share
- Benefit – could tap into a new or latent customer segment
- Danger – could move to a point on the line where there is no corresponding customer segment

2. Moving off the VEL

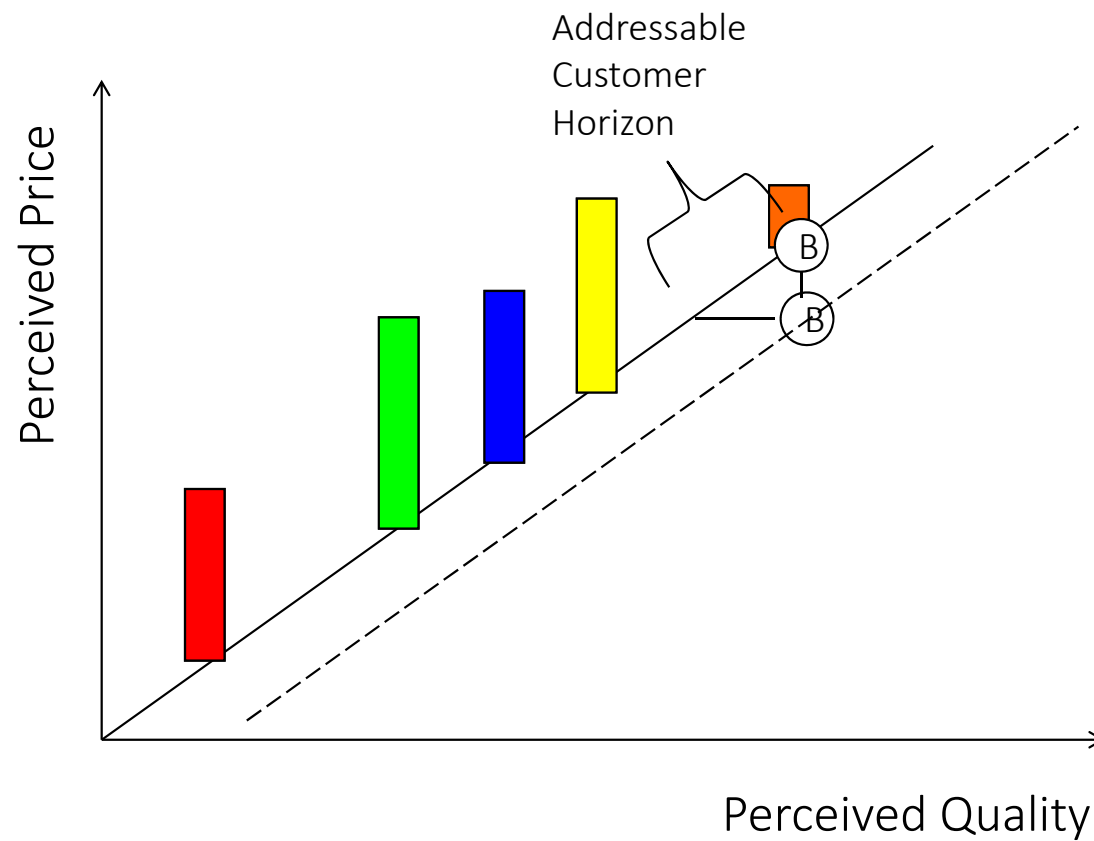
What happens to Addressable Customer Base?



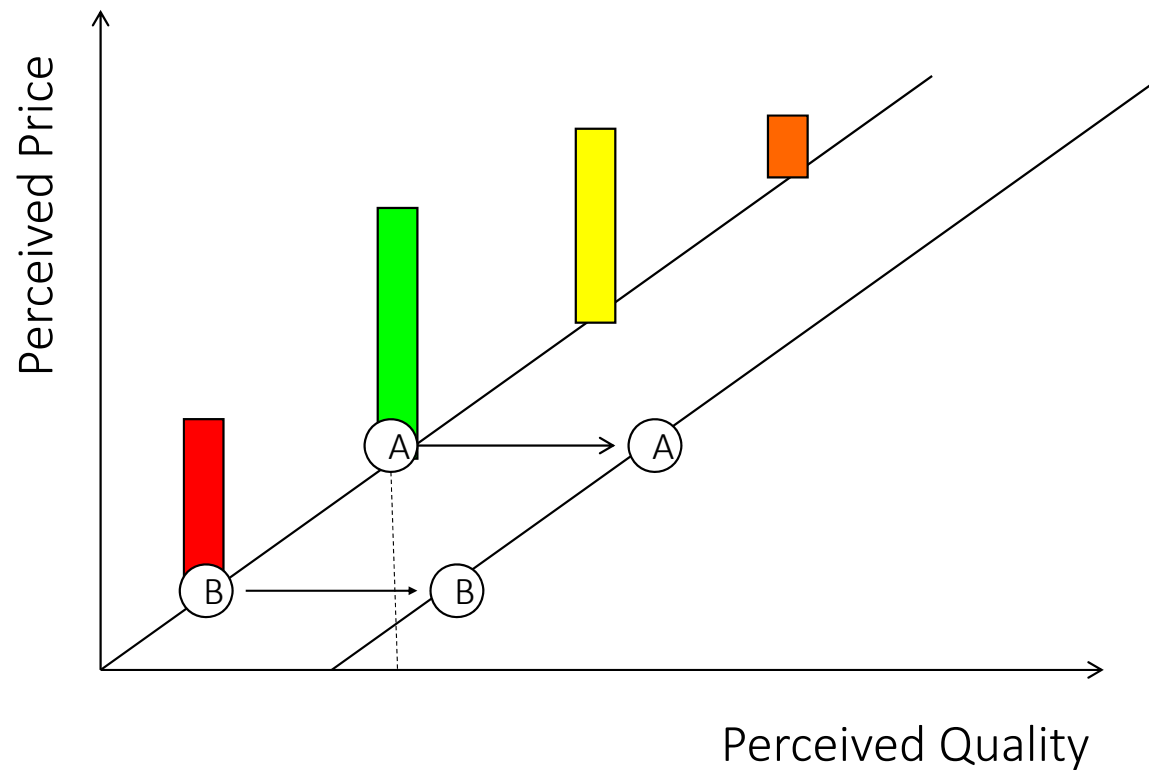
Addressable Customer Base Extends to Proximal Segments



...but not when segments are not proximal



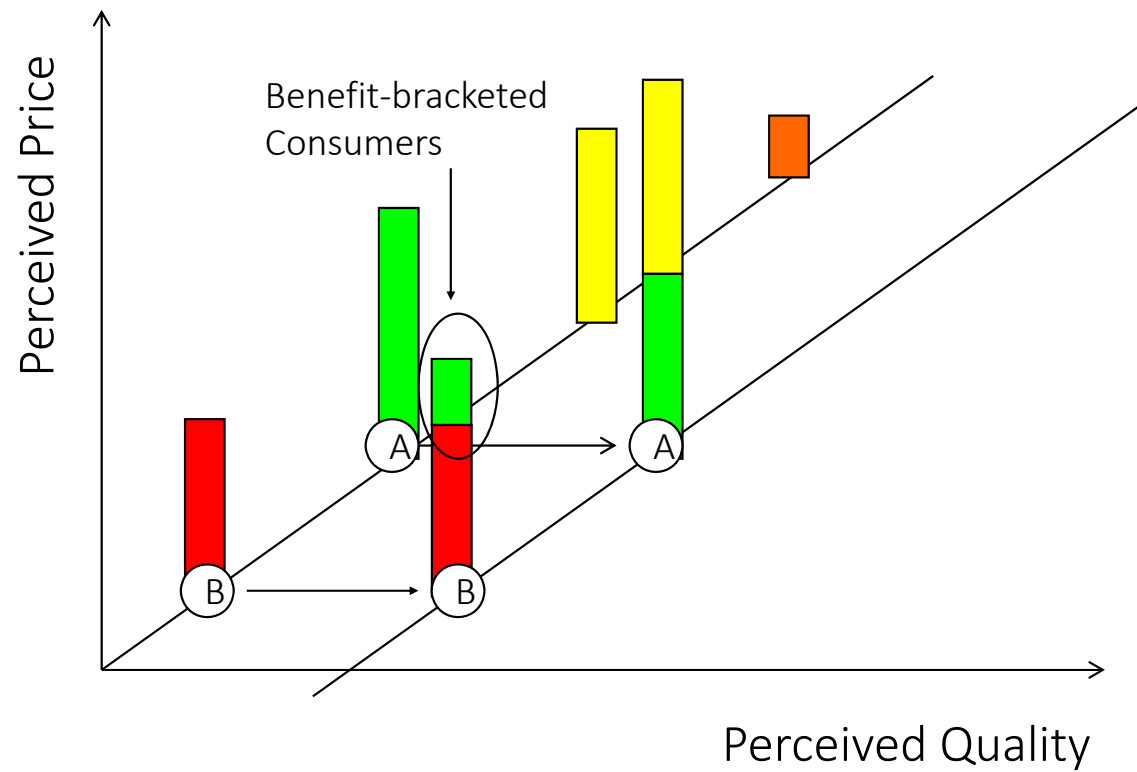
What happens to the Customer Mix?



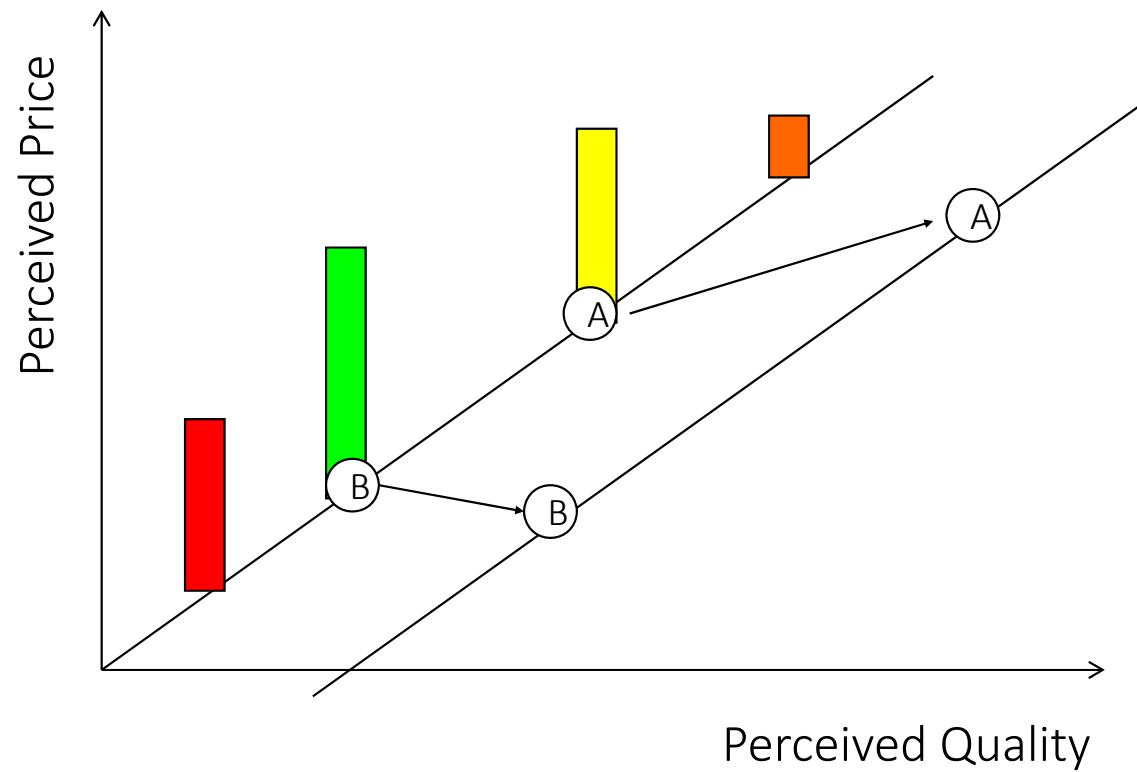
Two types of customers:

- Benefit Bracketed
- Price Capped

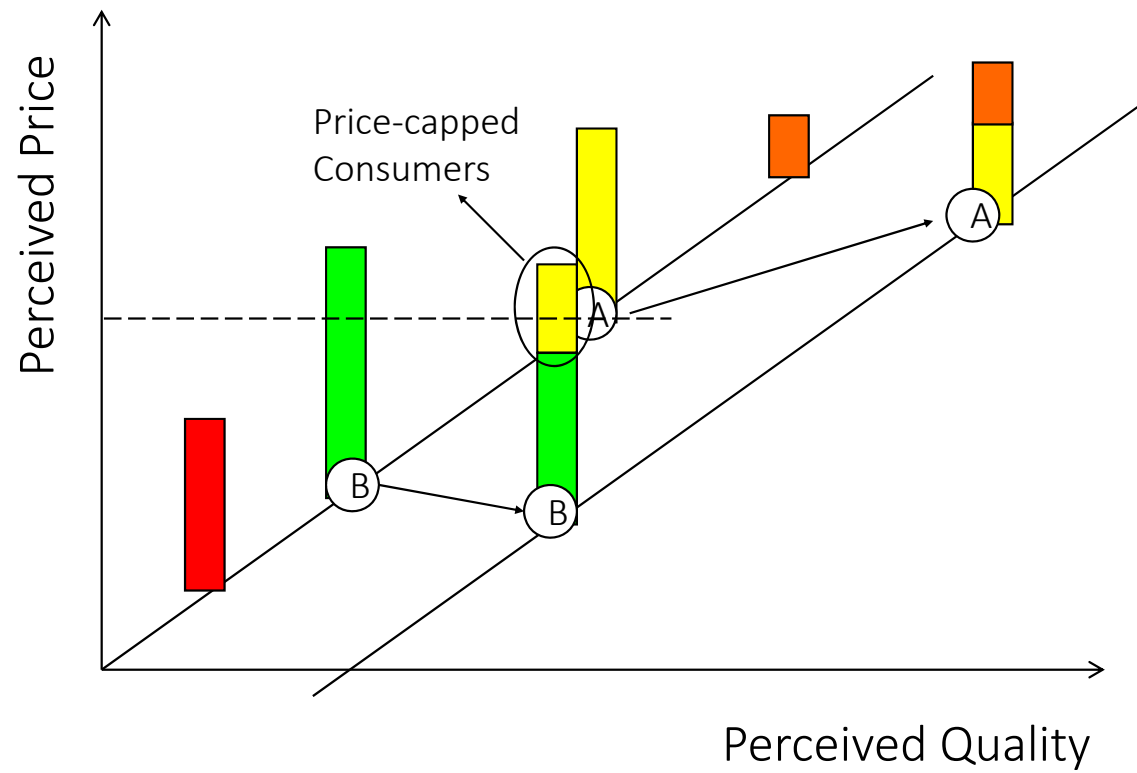
Customer Mix can Change When Jumping to a new VEL



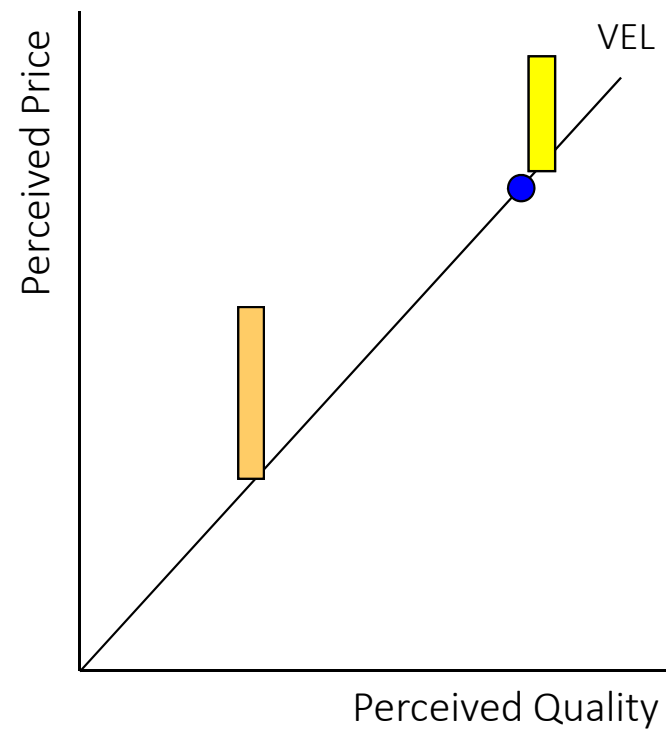
What happens to the Customer Mix?



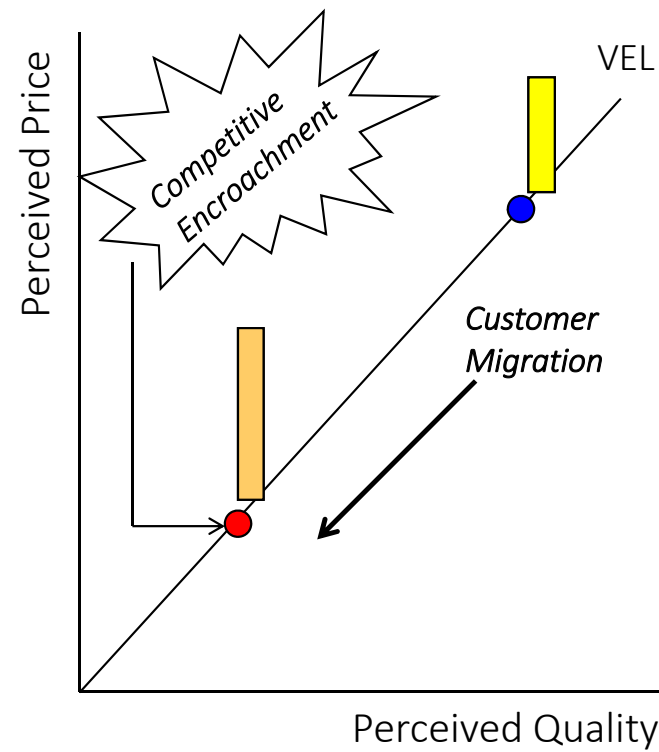
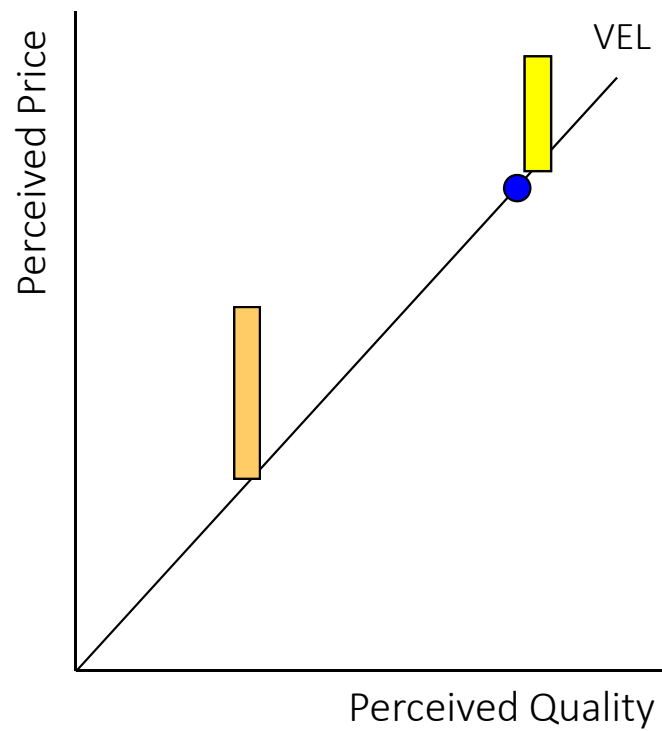
Price-Capped Customers Stay Behind



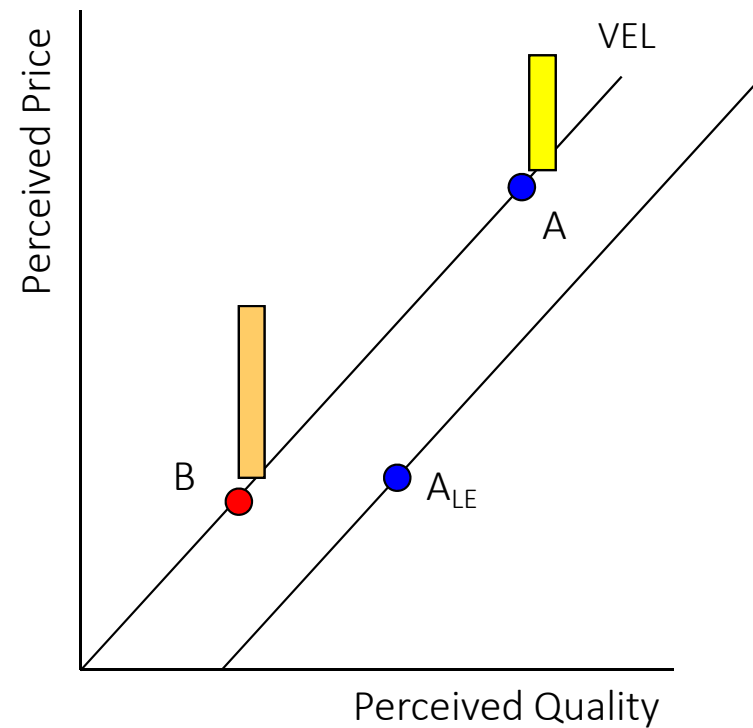
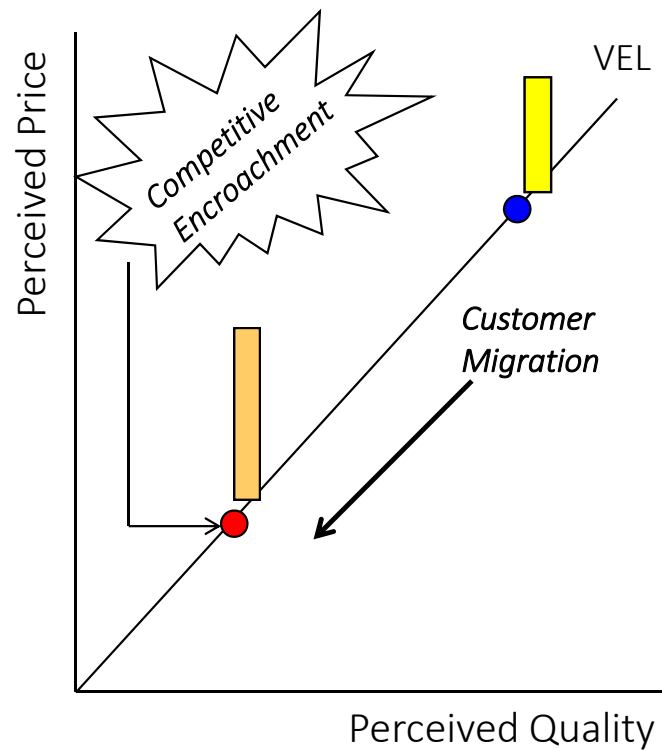
Use Value Maps Understand Line Extensions' Effects



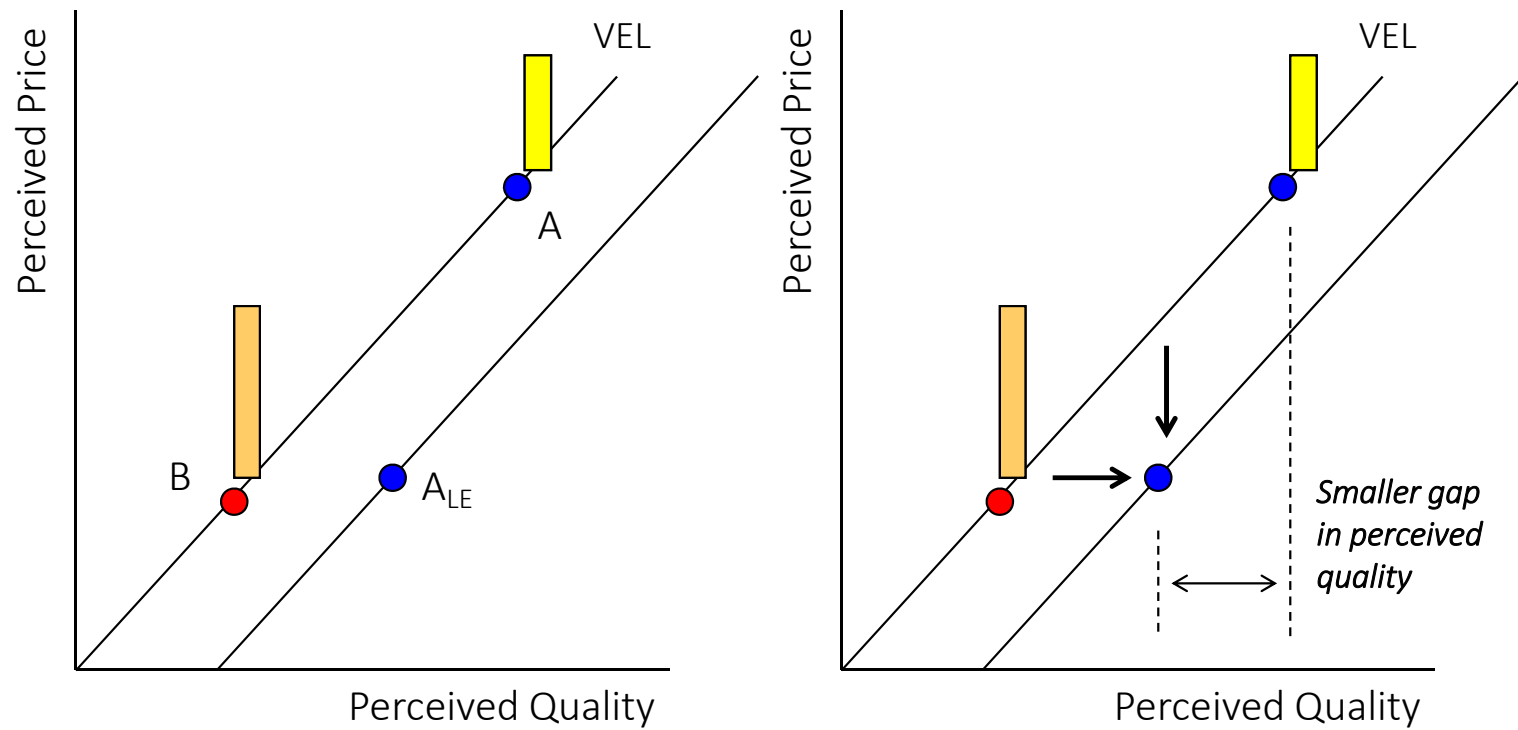
When a high end brand faces encroachment at low end



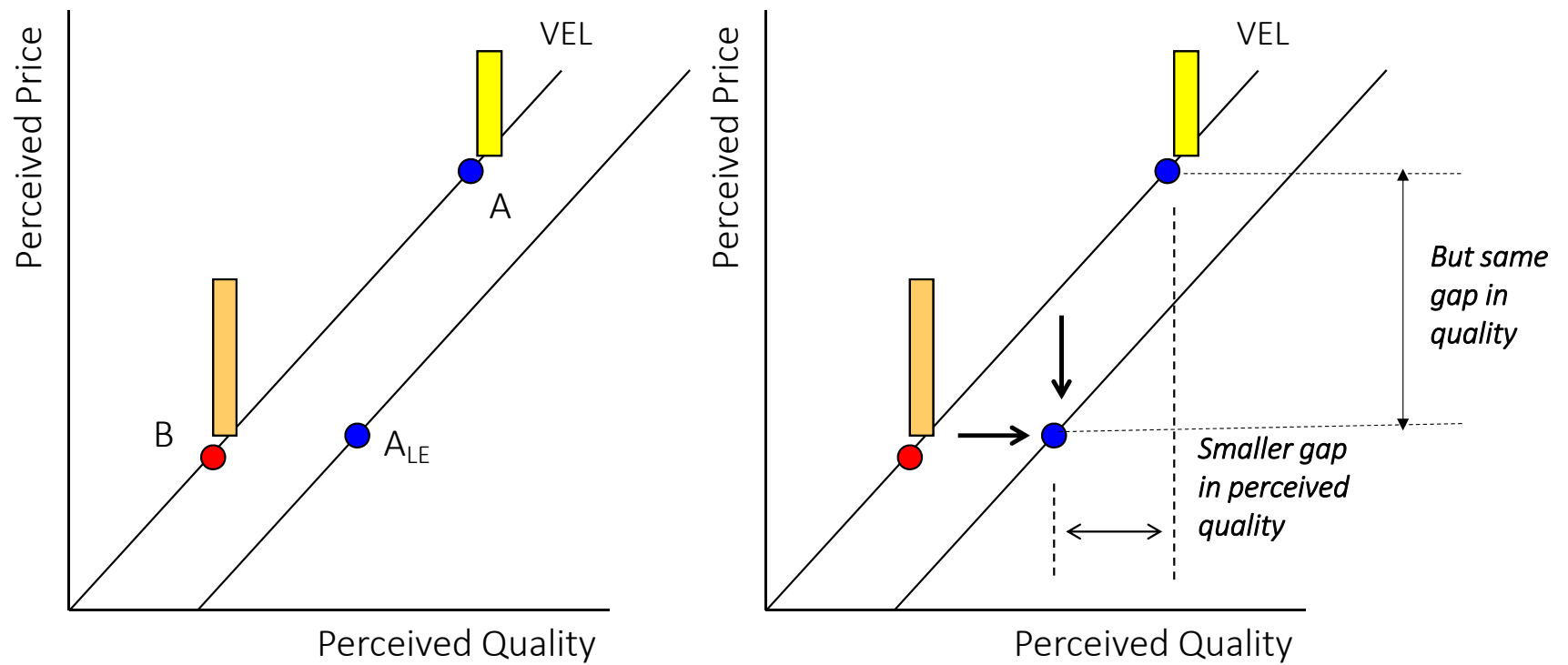
Natural Inclination is to Launch a Fighter Brand at Low End



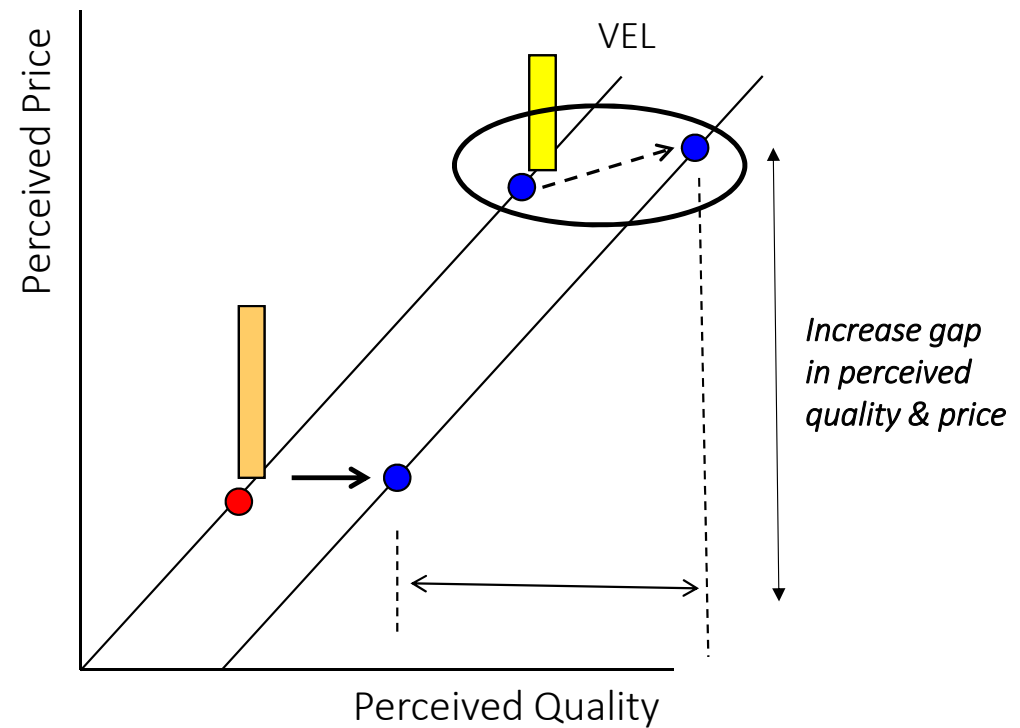
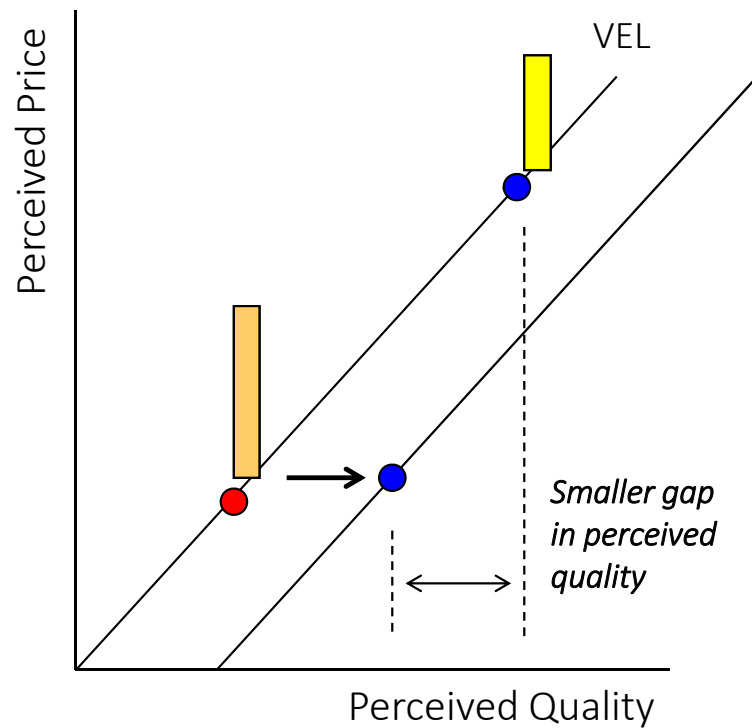
But could result in greater cannibalization from high end



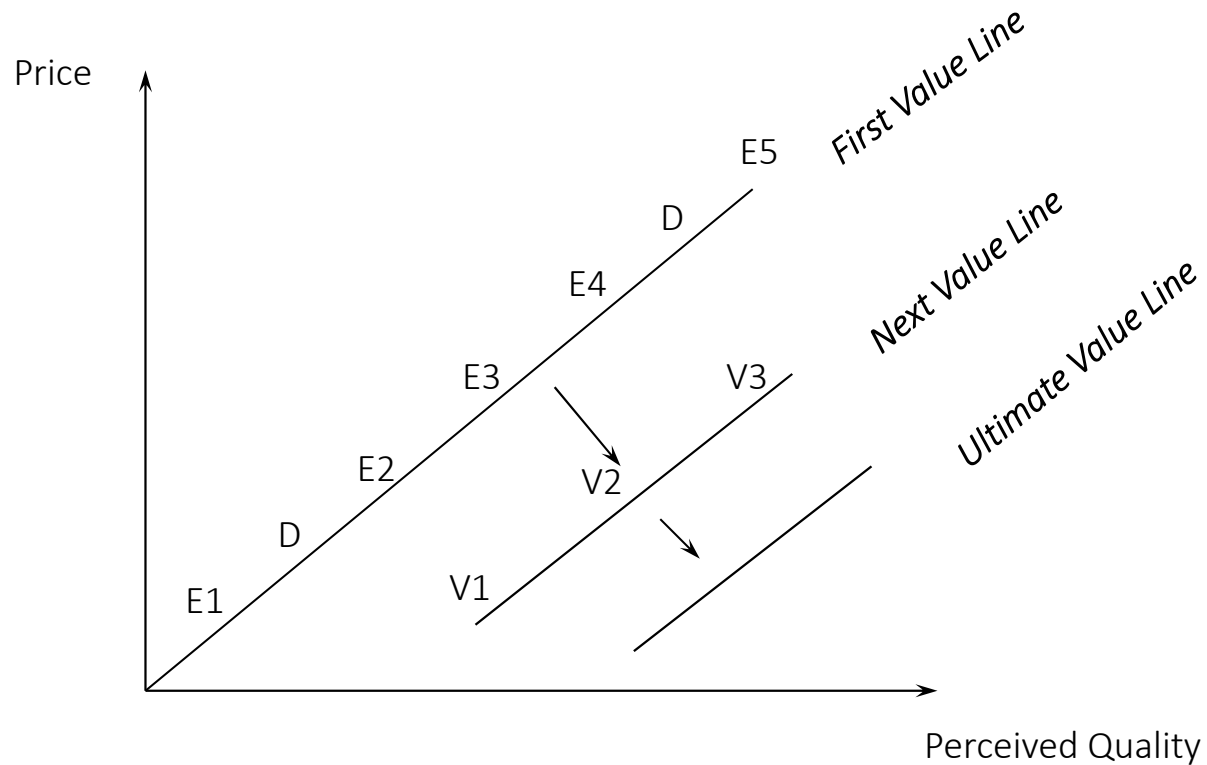
But could result in greater cannibalization from high end



Simultaneously Upgrade High End Product Pre-Emptively



Constant Move to Value Advantage Can have its Limits



Temu vs Amazon

Key takeaways – Competition & Segmentation

- Use a simplified version of the perceptual maps to understand the effects of competitive moves **on** segments in the market
- The value map
- Fits into the larger framework of how competition for customers escalates over time
- Need to adopt an allocentric view of competition